

Net Profit Margin

Net profit margin shows the after-tax rate a company earns on sales. It indicates the rate on sales that is available for appropriation after all expenses and commitments have been met. In order to facilitate comparison and to get a true picture, non-recurring income and expense should be excluded in the calculation.

$$\text{Net profit margin} = \frac{\text{Net income excluding non-recurring items after tax}}{\text{Sales}}$$

In Kumar Wheels Ltd. the pre-tax income was Rs. 700 lakh. If tax was Rs. 350 lakh, the pre-tax income would be Rs. 350 lakh. Non-recurring income was Rs. 50 lakh.

The net profit margin therefore was:

$$\frac{350-50}{8000} \times 100 = 3.75 \%$$

The return after tax to shareholders on sales was 3.75%.

The net profit margin also enables a shareholder to determine the additional earnings available to him on increases in sales.